

ernment in place, some re-injection of money into the market will help revive demand.

HUL's Jawa is also banking on a better monsoon. "Monsoon does have an impact, as we all know. It might not be the only impact, but it impacts the agri economy and rural consumption. And I think in that sense, most likely, the worst is past us, and from here onwards, we do see a gradual recovery in rural consumption," he said in the April earnings call. He expects urban consumption to remain "more resilient, especially at the premium end".

The one brand that is not worried is Amul, whether in rural or urban India. Demand for its milk and milk products is steady. On June 3, it marked up retail prices of milk. Jayen S. Mehta, MD of Gujarat Cooperative Milk Marketing Federation, which owns Amul, says, "We have not seen any change, be it in consumption or sales, from rural India."

Mehta says Amul has penetrated rural India very deeply and gets 38% of its sales from centres with a population of fewer than 20,000.



“We are seeing some green shoots of a pick-up in the rural economy. The monsoon is better which will help have better crops and this augurs well for the rural economy”

SANJIV PURI
PRESIDENT, CII

Meanwhile, white goods makers such as Godrej are sensing a groundswell of demand in the mass-market categories, which Nandi says are now on par with premium ones. But they would like the government to lower taxes on electronics and appliances to make them more affordable. The industry wants GST on large appliances to be lowered from 28% to 18%.

"Now, with the election verdict, it is expected that the government will try to prop up rural consumption through some populist measures in the Budget," says Duggad of Motilal Oswal. Leading players are keeping their fingers crossed: inflation, shifting consumer preferences, and weather-related disruptions could limit the revival.

"Last year, companies hoped demand would recover after the rains, but it did not happen. Tractor and two-wheeler sales continue to remain low. The expectation is that demand will recover further this year due to some pent-up demand and the expectation of a good monsoon," says Sabnavis.

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DURING THE PAST THREE YEARS, URBAN CONSUMPTION HAS OUTPACED RURAL IN EACH QUARTER, IN CONTRAST TO FY20-FY21, WHEN RURAL CONSUMPTION GREW FASTER

Challenges, however, remain. Repeated increases in milk prices have added to the overall food inflation as value-added dairy products have become costlier. Between July 2021 and June 2024, the price of packaged milk has gone up by 24.5%. Overall, food inflation continues to remain a concern for consumer goods makers. In May, CPI inflation moderated

to 4.75%, down from 4.8% in April. But food inflation has stayed above 8.5% for four months up to May 2024.

Dipti Deshpande, Principal Economist at CRISIL, says, "In May, the food inflation rate remained unchanged at 8.7% as inflation in cereals and pulses rose unexpectedly. We expect some softening from June due to a high base effect."

Analysts at Motilal Oswal are more cautious. While hopes may be running high and the rural economy—based on its indicators—may not decline again this year, it may be challenging to grow more than 5% in FY25. **BT**

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